



“MDBs NEED TO BE THE TIP OF THE SPEAR”

Lawrence Summers and N.K. Singh, Co-conveners of the G20 expert group on strengthening MDBs, share their views on the importance of reforms of the global development banks

BY **SIDDHARTH ZARABI**

SAFE HANDS The experts' panel was headed by N.K. Singh (left) and Lawrence Summers



it. The first is the degree of global challenge we face right now—millions of square miles of land were destroyed in fires this past summer. And that's just indicative of the challenge of global climate change... We still face substantial pandemic threats... We see

at the same time, it is a moment that is pregnant with opportunity to make lives better. We've seen more progress over the past 25 years in bringing down child mortality, in bringing up literacy, than we have seen at any point in the past. And if we want

COUNTRIES WILL ROUGHLY NEED \$3 TRILLION A YEAR TILL THE END OF THE DECADE TO TACKLE GLOBAL ISSUES

for the first time a major war in Europe, with substantial spillover consequences in terms of grain prices [and] food availability, for much of the world. So it's a very dangerous moment in the world. And

to keep that progress going, in the face of these challenges, we need more capital to flow to the developing world.

And that is the function of global development banks... They have ex-

traordinary leverage; and they represent the world's most serious effort yet at genuine global governance. And that's why they need to be the tip of the spear, as we address these global challenges, and try to keep the global opportunities coming. That's the central theme of our reports. And then we go into a wide variety of more specific issues. The importance of tripling the level of funding by the end of this decade; the importance of them doing their business in new ways, work much more closely with the private sector, work more closely with each other, [and] ways that use innovative finance.



Mr Singh, when the global financial crisis happened, an estimated

\$222 billion was deployed by the banks to address that crisis. Data suggests the spending was much lesser for Covid-19. Is this a classic example of why MDBs need to be fixed? What role has India played?

NKS: Let me begin with the role of India. Even before India assumed the G20 presidency, Prime Minister [Narendra Modi] had repeatedly emphasised the need to restructure MDBs as an integral part of restructuring the overall international financial architecture. If you look at the discussions of President [Joe] Biden, and Prime Minister Modi, during his last visit to the US, paragraph 40 of the recommendations is about strengthening MDBs. So [we] decided to constitute a